

discuss in this section (it was only money, and it did not cause the spilling of innocent blood). But it is nevertheless emblematic.

This chapter has two topics. First, we are demonstrably arrogant about what we think we know. We certainly know a lot, but we have a built-in tendency to think that we know a little bit more than we actually do, enough of *that little bit* to occasionally get into serious trouble. We shall see how you can verify, even measure, such arrogance in your own living room.

Second, we will look at the implications of this arrogance for all the activities involving prediction.

Why on earth do we predict so much? Worse, even, and more interesting: Why don't we talk about our record in predicting? Why don't we see how we (almost) always miss the big events? I call this the scandal of prediction.

ON THE VAGUENESS OF CATHERINE'S LOVER COUNT

Let us examine what I call *epistemic arrogance*, literally, our hubris concerning the limits of our knowledge. *Epistēmē* is a Greek word that refers to knowledge; giving a Greek name to an abstract concept makes it sound important. True, our knowledge does grow, but it is threatened by greater increases in confidence, which make our increase in knowledge at the same time an increase in confusion, ignorance, and conceit.

Take a room full of people. Randomly pick a number. The number could correspond to anything: the proportion of psychopathic stockbrokers in western Ukraine, the sales of this book during the months with *r* in them, the average IQ of business-book editors (or business writers), the number of lovers of Catherine II of Russia, et cetera. Ask each person in the room to independently estimate a range of possible values for that number set in such a way that they believe that they have a 98 percent chance of being right, and less than 2 percent chance of being wrong. In other words, whatever they are guessing has about a 2 percent chance to fall outside their range. For example:

"I am 98 percent confident that the population of Rajasthan is between 15 and 23 million."

"I am 98 percent confident that Catherine II of Russia had between 34 and 63 lovers."

You can make inferences about human nature by counting how many people in your sample guessed wrong; it is not expected to be too much higher than two out of a hundred participants. Note that the subjects (your victims) are free to set their range as wide as they want: you are not trying to gauge their knowledge but rather *their evaluation of their own knowledge*.

Now, the results. Like many things in life, the discovery was unplanned,